## 7-2a The Gold Standard (1870–1914)

The **gold standard** (A system in which the value of most major currencies was maintained by fixing their prices in terms of gold.) was a system in place between 1870 and 1914, when the value of most major currencies was maintained by fixing their prices in terms of gold. Gold was used as the **common denominator** (A currency or commodity to which the value of all currencies are pegged.) for all currencies. This was essentially a global peg system, with little volatility and every bit of predictability and stability. To be able to redeem its currency in gold at a fixed price, every central bank needed to maintain gold reserves. The system provided powerful incentives for countries to run current account surpluses, resulting in net inflows of gold.

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